

**ONE**

**FILED BY: FULLER PROPERTIES, LLC**

**\*TENTATIVE RULING:\***

The Court, sua sponte, continues this matter for hearing to May 11, 2026.

**20. 9:01 AM CASE NUMBER: C23-02013**

**CASE NAME: DENNIS SANFORD VS. CHANNEL LUMBER CO.**

**\*HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DEPOSITION TESTIMONY BY GRS FUNDING, INC.**

**FILED BY: CHANNEL LUMBER CO.**

**\*TENTATIVE RULING:\***

The Court, sua sponte, continues this matter for hearing to May 11, 2026.

**Law & Motion  
Add On**

**21. 9:00 AM CASE NUMBER: C25-02242**

**CASE NAME: MECHANICS BANK VS. BHUPINDER LALLY**

**HEARING ON SUMMARY MOTION CONTINUED FROM 04.27.2026**

**FILED BY: MECHANICS BANK**

**\*TENTATIVE RULING:\***

**Introduction**

Before the Court is Plaintiff Mechanics Bank's ("Plaintiff") Motion for Summary Judgment, or in the alternative, Summary Adjudication, ("MSJ"). The MSJ relates to Plaintiff's Complaint ("Complaint") alleging five causes of action relating to a \$100,000.00 loan made to Defendants KTS Freight, Inc. and Bhupinder Lally on June 15, 2023.

Plaintiff moves this Court for summary judgment, or in the alternative, summary adjudication, on the grounds that there is no triable issue of material fact, and that Plaintiff is entitled to judgment as a matter of law.

The motion is based on the following grounds:

ISSUE ONE: The First Cause of Action for Breach of written Promissory Note has merit and must be judged in favor of the Bank and against Borrower;

ISSUE TWO: The Second Cause of Action for Breach of a written Business Loan Agreement has merit and must be adjudged in favor of the Bank and against Borrower;

ISSUE THREE: The Third Cause of Action for Breach of a written Commercial Guaranty has merit and must be adjudged in favor of the Bank and against Guarantor;

ISSUE FOUR: The Fourth Cause of Action for Breach of a written Commercial Security Agreement has merit and must be adjudged in favor of the Bank and against Borrower; and

ISSUE FIVE: The Fifth Cause of Action for common count has merit and must be adjudged in favor of the Bank and against Borrower and Guarantor.

For the following reasons, **Plaintiff's motion for summary judgment is GRANTED.**

#### **Factual Background**

On or about June 15, 2023, KTS Freight, Inc. (Borrower"), for valuable consideration, made, executed and delivered to Mechanics Bank (the "Bank") a written Promissory Note ("Note") in the original principal amount of One Hundred Thousand Dollars (\$100,000.00). (UMF 1; Simons Decl.¶ 8, Ex. 1.)

The maturity date for the Promissory Note was extended to June 15, 2025. (UMF 2; Simons Decl.¶ 9, Ex. 2.)

The Promissory Note matured on June 15, 2025. (UMF 4.) Borrower is in default of the Promissory Note. (UMF 4.) Plaintiff made demand on Borrower, but Borrower has failed and refused to pay the amount due under the Promissory Note. (UMF 4; Simons Decl.¶ 11, Ex. 3.)

On June 15, 2023, Borrower made, executed, and delivered to Plaintiff a written Business Loan Agreement in the original principal amount of one hundred thousand dollars (\$100,000.00). (UMF 13; Simons Decl.¶ 14, Ex. 4.) Borrower defaulted on the terms of its Business Loan Agreement.

On June 15, 2023, Bhupinder Lally ("Guarantor") made, executed, and delivered to the Bank a written Commercial Guaranty ("Guaranty") granting the Bank with a blanket security interest in all inventories, chattel paper, accounts, equipment and general intangibles of KTS Freight, Inc. (UMF 17; Simons Decl.¶ 18, Ex. 5.) Guarantor defaulted on the terms of the Guaranty. (UMF 19; Simons Decl.¶ 20.)

On June 15, 2023, Borrower made, executed, and delivered to Plaintiff a written Commercial Security Agreement. (UMF 20; Simons Decl.¶ 22, Ex. 5.) Plaintiff perfected its security interest by filing a UCC Statement with California's Secretary of State as Instrument No. U230043426024. (UMF 25; Simons Decl.¶ 22.)

The Note, Change in Terms Agreement, Business Loan Agreement, Guaranty, and Commercial Security Agreement are collectively referred to herein as the "Loan Documents." The Bank has fully performed all obligations under the terms of the Loan Documents. (UMF 29; Simons Decl.¶ 10.)

As of December 18, 2025, the amount owed is principal of \$99,508.02, interest of \$10,195.01, plus late charges \$271.61, all according to the terms of the Loan Documents. Daily interest continues to accrue at the per diem rate of \$45.61, until entry of judgment or payment in full. (UMF 5, 16, 31; Simons Decl.¶¶ 12, 17.)

### **Legal Standard**

A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding. (Code Civ. Proc. § 437c(a)(1).)

Section 437c(p)(1) provides, in relevant part:

A plaintiff or cross-complainant has met his or her burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.

The Court may not weigh the evidence but must view it "in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864.) Declarations and other evidence offered in support of a motion for summary judgment are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20; *Johnson v. American Standard* (2008) 43 Cal.4th 56, 64.)

" '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . . ' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180; *Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1497.) "All doubts as to the propriety of granting the motion—i.e., whether there is any triable issue of material fact—are to be resolved in favor of the party opposing the motion." (*Cohen v. Five Brooks Stable, supra*, 159 Cal.App.4th at 1483.)

### **Analysis**

#### **Breach of Contract Causes of Action**

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

Plaintiff argues four breach of written contract causes of action: (1) breach of the Promissory Note; (2) breach of the Business Loan Agreement; (3) breach of the Commercial Guaranty; and (4) breach of the Commercial Security Agreement. All four loans together are referred to as the Loan Documents.

#### **Plaintiff's Initial Burden**

"[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact..." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

#### **1. Contract Existence**

##### **Promissory Note**

The existence or formation of the Promissory Note between Plaintiff and Defendant/Borrower KTS

Freight is undisputed. (UMF 1.)

#### **Business Loan Agreement**

Defendants dispute the language, “in order to induce the Bank to grant the original credit” in referring to the language Plaintiff uses to describe the possible motive behind Borrower KTS Freight signing the Business Loan Agreement. (UMF 13.) This is not a dispute of material fact because this fact does not relate to any of the causes of action, claims for damages, issues of duty, or affirmative defenses that are the subject of the motion. (Cal. Rules of Court, rule 3.1350(a)(2); see also *Riverside County Cmty. Facilities Dist. v. Bainbridge 17* (1999) 77 Cal.App.4th 644, 653.) However, Defendants do not dispute the existence or formation of the Business Loan Agreement. The existence of the Business Loan Agreement between Plaintiff and Defendant/Borrower KTS Freight is undisputed. (UMF 13.)

#### **Commercial Guaranty**

Defendants dispute the language, “in order to induce the Bank to grant the original credit” in referring to the language Plaintiff uses to describe the possible motive behind Borrower KTS Freight signing the Commercial Guaranty. (UMF 17.) This is not a dispute of material fact because this fact does not relate to any of the causes of action, claims for damages, issues of duty, or affirmative defenses that are the subject of the motion. (Cal. Rules of Court, rule 3.1350(a)(2); see also *Riverside County Cmty. Facilities Dist. v. Bainbridge 17* (1999) 77 Cal.App.4th 644, 653.) However, Defendants do not dispute the existence or formation of the Commercial Guaranty. The existence of the Commercial Guaranty between Plaintiff, Defendant/Borrower KTS Freight, and Defendant/Guarantor Bhupinder Lally is undisputed. (UMF 17.)

#### **Commercial Security Agreement**

Defendants dispute the language, “in order to induce the Bank to grant the original credit” in referring to the language Plaintiff uses to describe the possible motive behind Borrower KTS Freight signing the Commercial Security Agreement. (UMF 20.) This is not a dispute of material fact because this fact does not relate to any of the causes of action, claims for damages, issues of duty, or affirmative defenses that are the subject of the motion. (Cal. Rules of Court, rule 3.1350(a)(2); see also *Riverside County Cmty. Facilities Dist. v. Bainbridge 17* (1999) 77 Cal.App.4th 644, 653.) However, Defendants do not dispute the existence or formation of the Commercial Security Agreement. The existence of the Commercial Security Agreement between Plaintiff, Defendant/Borrower KTS Freight is undisputed. (UMF 20.)

#### **Change in Terms Agreement**

The existence of the Change In Terms Agreement between Plaintiff and Defendant/Borrower KTS Freight, which extended the maturity date of the Loan Documents by one year, is undisputed. (UMF 2, 8, , 21, 28.)

### **2. Plaintiff’s Performance**

It is undisputed that Plaintiff performed all the conditions under the Promissory Note, Business Loan Agreement, Commercial Guaranty, and Commercial Security Agreement. (UMF 3, 9, 18, 22, 29.)

### **3. Breach**

Plaintiff supports its position that Defendants breached with evidence set forth in the Declaration of Commercial Assets Officer Bert Simmons authenticating the Promissory Note, Business Loan Agreement, Commercial Guaranty and the Commercial Security Agreement. (UMF 1, 13, 17, 20.)

#### **Promissory Note Breach**

Commercial Officer Bert Simmons explains that the Promissory Note matured on June 15, 2025, and Defendant/Borrower KTS Freight has failed to pay the amount due after Plaintiff sent a written demand. (UMF 1, 2, 4.)

#### **Business Loan Agreement Breach**

Commercial Officer Bert Simmons explains that Defendant/Borrower KTS Freight defaulted on the terms of the Business Loan Agreement since the Promissory Note is integrated by reference in the Business Loan Agreement. (UMF 15; Simons Decl. ¶¶ 14-16, Ex 4, pp. 1, 6.)

#### **Commercial Guaranty Breach**

Commercial Officer Bert Simmons explains that Defendant/Borrower KTS Freight, and Defendant/Guarantor Bhupinder Lally defaulted on the terms of the Commercial Guaranty since the Promissory Note is integrated by reference in the Commercial Guaranty. (UMF 17-19; Simons Decl. ¶¶ 18-20, Ex 5, p. 4.)

#### **Commercial Security Agreement Breach**

Commercial Officer Bert Simmons explains that Defendant/Borrower KTS Freight defaulted on the terms of the Business Loan Agreement since the Promissory Note is integrated by reference in the Business Loan Agreement. (UMF 15; Simons Decl. ¶¶ 14-16, Ex 4, pp. 1, 6.)

#### **4. Damages**

It is undisputed Plaintiff suffered damages which as of December 18, 2025, is the principal amount of \$99,508.02, interest of \$10,195.01, plus late charges of \$271.61, all according to the terms of the Promissory Note, plus daily interests that continues to accrue at the rate of \$45.61 per diem, until entry of judgment or payment in full. (UMF 5, 11, 16, 31.)

Thus, Plaintiff has met his initial burden of proof by providing evidence of each element for breach of contract for each of the Loan Documents by evidence provided in the Declaration of Commercial Assets Officer Bert Simmons. The burden now shifts to Defendants to either show a dispute of material fact as to an element or to establish all the elements of a defense. In this motion the only element Defendants have placed in dispute is the breach element of the Promissory Note, Business Loan Agreement, Commercial Guaranty or Commercial Security Agreement.

#### **Defendants' Dispute of Material Facts for Breach of Contract Causes of Action**

Defendants present two arguments in support of the existence of a disputed material fact.

##### **Ignorance of a Contract Term Does Not Negate an Element or a Defense**

"A party's failure to read a contract, or to carefully read a contract, before signing it is no defense to the contract's enforcement". (*Desert Outdoor Advertising v. Superior Court* (2011) 196 Cal. App. 4th 866, 872.) "Ordinarily, one who accepts or signs an instrument, which on its face is a contract, is deemed to assent to all its terms, and cannot escape liability on the ground that he has not read it. If he cannot read, he should have it read or explained to him". (*Randas v. YMCA of Metropolitan Los Angeles* (1993) 17 Cal. App. 4th 158, 163; citing 1 Witkin, Summary of Cal. Law (9th ed. 1987) § 120, p. 145.)

The only separate statement that Defendant KTS Freight materially opposed was the material fact about the maturation of the note. Defendant KTS Freight disputes that the note matured and

contends that the term should be like a credit card. (UMF 4.) Defendant KTS Freight's basis for their dispute is Defendant Bhupinder Lally's declaration where he claims that Plaintiff's agent Sunil Tumber suggested a line of credit and Defendant Lally understood that to mean all he would be required to do is make minimum payments until my business earned enough to pay off the balance. (Lally Decl. ¶¶ 3-5.)

The maturity date was clearly present on the first page of two of the Loan Documents, the Promissory Note and the Commercial Security Agreement. (Simons Decl. Ex. 1,6.) A year later, Defendants signed the Change In Terms Agreement which had the maturity date on the top of the document located in the same place as the Promissory Note and Commercial Security Agreement, and the single page Change In Terms Agreement contained a Maturity Date provision which explicitly stated that the maturity date was being extended from June 15, 2024 to June 15, 2025. (UMF 1, 2, 4.)

Defendants do not present material facts that might raise a triable issue as to assent to the maturity or payment terms such as an inability to read the terms, for any reason, at the time of the execution of any of the Loan Documents.

Defendants have failed to cite any authority in support of their position that their ignorance of a contract term in which they competently executed can serve to negate an element or provide a defense to a breach of contract cause of action. As a matter of law, Defendants' ignorance of the maturity date term of the Loan Agreements does not negate an element or provide a defense to a breach of contract cause of action. Nor have defendants properly shown that the maturity terms or other relevant payment terms were ambiguous and properly subject to their proffered interpretation by admissible parol evidence.

#### **Defendants' Detrimental Reliance on Plaintiff's Agent Sunit Tumber is Not Reasonable**

One party's misrepresentations as to the nature or character of the writing do not negate the other party's apparent manifestation of assent, if the second party had "reasonable opportunity to know of the character or essential terms of the proposed contract." (Rest.2d Contracts, § 163.) If a party, with such reasonable opportunity, fails to learn the nature of the document he or she signs, such negligence precludes a finding the contract is void for fraud in the execution. (*C. I. T. Corp. v. Panac* (1944) 25 Cal.2d 547, 549.)

The California Supreme Court emphasized that a party's unreasonable reliance on another's misrepresentations, resulting in a failure to read a written agreement, does not negate the party's apparent assent to the contract if they had a reasonable opportunity to know its terms. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal. 4th 394, 423.)

Defendant Lally claims that if he was aware of the one-year maturity date, he would never have borrowed the funds for his business. (AUMF 34; Lally Decl. ¶ 7.) In their additional undisputed facts and in the Declaration of Defendant Bhupinder Lally, Defendants take the position that they relied on the representation by Plaintiff Mechanic Bank's agent Sunil Tumber's representation that the term of the loan documents would be a line of credit and not have a mature date. (AUMF 32-33; Lally Decl. ¶¶ 4-6.) Defendants also argue that they were never provided with copies of the Loan Documents before or after signing them. (AUMF 34; Lally Decl. ¶ 7.) The reasonability of Defendants' reliance of Plaintiff's agent's representations is brought into question.

The maturity date was clearly present on the first page of two of the Loan Documents, the Promissory Note and the Commercial Security Agreement. (Simons Decl. Ex. 1,6.) A year later, Defendants signed the Change In Terms Agreement which had the maturity date on the top of the document located in

the same place as the Promissory Note and Commercial Security Agreement, and the single page Change In Terms Agreement contained a Maturity Date provision which explicitly stated that the maturity date was being extended from June 15, 2024 to June 15, 2025. (UMF 1, 2, 4.)

Executing two documents in 2024 and one in 2025 that explicitly had a Maturity Date on the first page of the document makes Defendants' reliance on Plaintiff Mechanics Bank's agent Sunil Tumber's suggestion to take out a line of credit and that Defendant Lally's understanding that the line of credit would operate like a credit card unfounded and unreasonable.

Defendants' argument that they were never provided with copies of the Loan Documents before or after does not make their alleged detrimental reliance reasonable either. Defendants do not argue that they requested copies of the Loan Documents, or even that Plaintiff refused to provide copies of the Loan Documents. Defendants simply state that Plaintiff did not provide copies of the Loan Documents. Defendants did provide any facts that suggest that Plaintiff deprived Defendants a reasonable opportunity to know the terms of the Loan Documents.

In sum, Defendants have failed to adduce evidence that would allow a reasonable trier of fact to conclude that defendants did not have a reasonable opportunity to know of the character or essential terms of the proposed contract.

There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

Defendants have failed to cite any authority in support of their position that their reliance of a representation of an agent that is directly in conflict with a later executed contract term can serve to negate an element or provide a defense to a breach of contract cause of action. As a matter of law, Defendants' unreasonable reliance does not negate an element or provide a defense to a breach of contract cause of action.

Thus, Defendants did not meet their burden to show a genuine dispute of material fact as to an element or to establish all the elements of a defense. Summary adjudication is granted as to the breach of contract causes of action one through four for the Promissory Note, Business Loan, Guarantor, or Commercial Security Agreement, collectively referred to as the Loan Documents.

### **Common Count**

Plaintiff's fifth common count cause of action is based on "money had and received." A cause of action is stated for money had and received if the defendant is indebted to the plaintiff in a certain sum "for money had and received by the defendant for the use of the plaintiff." (*Gutierrez v. Girardi* (2011) 194 Cal. App. 4th 925, 937.) It lies wherever one person has received money which belongs to another, and which in equity and good conscience should be paid over to the latter. (*Id.*)

It is undisputed that Defendants took out a loan or guaranteed such loan for \$100,000.00 from Plaintiff and that the borrower actually received such monies. (UMF 1, 7, 27.)

It is undisputed that Plaintiff's loaned the money in exchange for repayment plus interest. (UMF 1, 7, 27.)

It is undisputed that Defendants have not paid Plaintiff back in full. (UMF 5, 11, 16, 31.)

Despite Defendants' dispute to separate statement number 30, Defendants' ignorance of a contract term or unreasonable reliance of a representation of an agent that is directly in conflict with a contract term later executed similarly does not negate any element of a common count cause of

action for the same reasons discussed above. Defendants' contention that the Loan Documents did not mature and should have been like a credit card is not a genuine material dispute of the indebtedness because no reasonable trier of fact could conclude, based on the proffered evidence, that defendants were ignorant of the agreed upon repayment terms .

**Conclusion**

For the reasons set forth above, Plaintiff's motion for summary judgment is **GRANTED**.